

26SMCV01433 26SMCV01433

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Case Number: 26SMCV01433 Hearing Date: September 15, 2026 Dept: P

Tentative

Ruling

Sharon

Crystal, Inc. v. Sharon Crystal, Case No. 26SMCV01433

Motions:

(1)

Defendants'

Motion for Reconsideration

(2)

Plaintiff's

Motion to Bifurcate

Hearing

Date: September 15, 2026

Background

On March

17, 2026, Plaintiffs Sharon Crystal, Inc. ("Crystal") and Shannon Bankosh ("Bankosh") sued Defendants Sharon Crystal ("Sharon"), Holly Crystal ("Holly"), Darla Smith, and Chad Miller for twenty claims, including conversion, theft, intentional interference with contractual relations, breach of fiduciary duty, defamation, fraud, and breach of lease. Plaintiffs allege that Sharon is Bankosh and Holly's mother. (Complaint, ¶ 12.) Plaintiffs allege that Sharon

and her husband Terry started Crystal, a company selling goods at Renaissance Faires throughout the country, in the 1970s. (Id. at ¶ 9.) Plaintiffs allege that Sharon and Terry gave control of the company to Bankosh when they decided to retire in 2022, though Sharon remained an active employee. (Id. at ¶ 19.) Plaintiffs allege that Holly was not involved in Crystal until January 2026, when she, Darla Smith, and Chad Miller took over the company and locked Bankosh out of Crystal's Culver City offices. (Complaint, ¶ 34.)

On April

24, 2026, Sharon and Holly filed a cross-complaint against Bankosh alleging financial elder abuse, fraud, breach of fiduciary duty, cancellation of instruments, and conversion.

On April

30, 2026, Sharon and Holly filed a motion for trial preference. On June 3, 2026, the Court denied Sharon and Holly's motion for trial preference. Sharon and Holly appealed. On June 16, 2026, the Court received the Court of Appeals' tentative order directing the court to either vacate the order denying preference and enter a new order granting preference or show cause why a peremptory writ should not issue. On June 17, 2026, the Court issued a minute order setting an OSC re: Appellate Order for July 1, 2026, indicating that it was considering vacating the June 3 order. On June 24, 2026, both parties submitted briefs in anticipation of the July 1 hearing. On July 1, 2026, the Court granted Defendants' motion for trial preference and set trial for September 28, 2026. The Court also advanced the parties' pending demurrers and motions to strike to August 5, 2026.

On July

23, 2026, Plaintiffs filed the motion to bifurcate. On September 1, 2026, Defendants filed opposition to the Motion to bifurcate.

On August

10, 2026, following the August 5, 2026, hearing, the Court sustained Defendants' demurrer to two of Plaintiffs' claims with leave to amend and four without leave to amend; and sustained Plaintiffs' demurrer to Defendants' cross-complaint without leave to amend.

On August

19, 2026, Defendants filed this motion for reconsideration. On September 1, 2026, Plaintiffs filed opposition to the motion for reconsideration. On

September 8, 2026, Defendants replied.

Defendants'

opposition to Plaintiff's motion to bifurcate depends on the Court's decision on the Motion for Reconsideration, so the Court will decide that motion first:

Motion

for Reconsideration

Defendants

move for reconsideration of the Court's August 10, 2026, decision denying Defendants' leave to amend the cross-complaint. Defendants argue that James Diamond's deposition on August 10, 2026, after the demurrer hearing, produced evidence that the stock certificate bearing Sharon's signature and dated January 24, 2022, was actually signed significantly later. (Motion for reconsideration, p. 5.) Defendants also cite emails from Mr. Diamond in December 2022 indicating that the certificate had not yet been signed. (Id. at p. 6.) Defendants argue that Diamond's testimony shows that though the certificate was dated January 24, 2022, it could not have been signed until December 2022, within the statute of limitations on Defendants' cross-complaint. (Id. at p. 8.)

In

opposition, Plaintiffs argue that Defendants have not shown the required diligence and that the facts gleaned from Diamond's deposition are not new because they were known or readily available before the demurrer hearing as Diamond was Sharon's attorney and Defendants had access to Sharon's client file. (Opposition, p. 5-10.) Next, Plaintiffs argue that Sharon's verified response to Plaintiff's requests for admission conclusively establishes that Sharon signed the certificate on January 24, 2022, and that the proposed amendment would be futile as a sham pleading. (Id. at p. 11.) On the merits, Plaintiffs argue that the new evidence is insufficient to show that the certificate was actually signed later because Diamond's testimony was equivocal. (Id. at p. 14.) Next, Plaintiffs argue that granting this motion and permitting Defendants leave to amend would prejudice them because they would have no time to prepare for trial. (Id. at p. 15.) Finally, Plaintiffs argue that the Court's decision on this motion has no bearing on Defendants' breach of fiduciary duty claim because the Court's decision on that claim was not based on the statute of limitations. (Id. at p. 16.)

In reply,

Defendants argue that Diamond's August 10 testimony is new evidence that supports this motion for reconsideration. Defendants argue that *Film Packages, Inc. v. Brandywine Film Productions, Ltd.* (1987) 193 Cal.App.3d 824, 829 supports a finding that new evidence can cast existing knowledge in a different light and form the basis for a motion for reconsideration. (Reply, p. 3.) Defendants argue that Plaintiffs' authorities are procedurally and factually distinct from this case. (Id. at p. 4.) Defendants argues that Sharon's response to Plaintiff's requests for admission does not eliminate the need for leave to amend and should be addressed through a motion to modify or withdraw the response. (Id. at p. 6.) Plaintiffs argue that the proposed amendment adequately addresses the discovery rule, and the claimed prejudice does not justify denying a meritorious request for leave to amend.

Motion for Reconsideration

"When an application for an order has been made to a judge, or to a court, and refused in whole or in part, or granted, or granted conditionally, or on terms, any party affected by the order may, within 10 days after service upon the party of written notice of entry of the order and based upon new or different facts, circumstances, or law, make application to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order. The party making the application shall state by affidavit what application was made before, when and to what judge, what order or decisions were made, and what new or different facts, circumstances, or law are claimed to be shown." (Code Civ. Proc., § 1008, subd., (a).)

As it relates to new or different facts, circumstances, or law under Code of Civil Procedure section 1008, subdivision (a), "the moving party must provide a satisfactory explanation for the failure to produce that evidence at an earlier time." (*Shiffer v. CBS Corp.* (2015) 240 Cal.App.4th 246, 255.) Furthermore, "facts of which the party seeking reconsideration was aware at the time of the original ruling are not "new or different." (*In re Marriage of Herr* (2009) 174 Cal.App.4th 1463, 1468.)

Additionally,
"[e]very court of record has the inherent power to correct its records so that

they shall conform to the facts and speak the truth, and likewise to correct any error or defect occurring in a record through acts of omission or commission of the clerk in entering of record the judgments or orders of the court, and such correction may be made at any time by the court on its own motion.” (Nunn v. JPMorgan Chase Bank, N.A. (2021) 64 Cal.App.5th 346, 361, quoting Siegal v. Superior Court of Los Angeles County (1968) 68 Cal.2d 97, 101.)

Discussion

Procedural
Requirements

Defendants

filed the motion for reconsideration less than ten days after service of the Court’s ruling on the demurrer and have attached the appropriate affidavits.

Motion
for Reconsideration

The Court
agrees with Plaintiffs on all counts.

First, the evidence on which Defendants base their motion is not new because it is based on emails in Defendants’ possession long before the deposition testimony. While the quoted passages Defendants rely on in their motion come from a deposition taken after the demurrer hearing, the emails which provide the basis for Diamond’s deposition testimony were produced before the hearing. Diamond’s statements in his deposition are equivocal. For example, he states that the certificate “would have been signed sometime after all of the other documents would have been signed or completed, I guess.” (Montgomery Decl., Exhibit B, 186:13-16.) Diamond’s subsequent, more concrete statements heavily reference the emails—when he was asked if it was his recollection that he had not sent the certificate to Sharon and Terry to sign as of December 2022, he responded “That’s what the email says.” (Id. at 194:15.) Defendants do not contest that the emails referenced had long been in their possession.

Second, the evidence on which Defendants rely is not new because the evidence was readily

available to Defendants before the demurrer hearing. Indeed, at all relevant times, Diamond was Defendants' attorney. Defendants could have spoken with Diamond at any time and had full access to their own client file, including the emails that support Diamond's deposition testimony. Defendants also could have communicated with Diamond at any point before the demurrer hearing – including before filing the cross-complaint. There is no evidence Diamond refused to answer questions before his deposition. Importantly, Defendants offer no explanation for their failure to discover this evidence earlier. Instead, they simply insist that Diamond's schedule required the deposition to take place on August 10. That does not explain why Defendants did not speak with Diamond informally about the key documents and/or timeline as part of their standard due diligence.

Not only

could defendants have discovered this information sooner, counsel likely had an affirmative obligation to discover this information prior to asserting these claims. When Defendants decided to pursue a fraud claim based on the 2022 transaction, their counsel had an obligation to conduct a reasonable investigation. "[A]n attorney's duty to exercise the skill and care that a reasonably careful attorney would use in similar circumstances extends to prelitigation investigation and evaluation of a client's potential claims." (*Mireskandari v. Edwards Wildman Palmer LLP* (2022) 77 Cal.App.5th 247, 260.) "When one suspects that another has caused harm, a preliminary investigation is usually necessary in order to know whether one has a potential legal claim, evaluate the likelihood of success, and decide whether or not to assert it. Consequently, the investigation of a potential claim is normally and reasonably part of effective litigation, if not an essential part of it." (*Id.* (citations omitted).) Any reasonable investigation would have revealed the evidence that they claim is new.

Accordingly,

the Court finds that Defendants have not shown new facts or reasonable diligence in discovering those facts.

Even if

the Court were to consider Diamond's deposition new evidence, amendment would be futile because there is a separate reason that Defendants' claims are time-barred. Sharon was represented by Diamond in the allegedly-fraudulent transaction. Sharon's attorney (Diamond) prepared the stock certificate in January 2022 transferring the company to Bankosh as an individual. Diamond's

knowledge is imputed to Sharon because he was her agent in the transaction. (Chapman College v. Wagener (1955) 45 Cal.2d 796, 802 ["The general rule of agency is that notice to or knowledge possessed by an agent is imputable to the principal."]; Roche v. Hyde (2020) 51 Cal.App.5th 757, 797 ["an attorneys' knowledge is imputed to the principal even where ... the agent does not actually communicate with the principal, who thus lacks actual knowledge of the imputed fact."].) Since Diamond knew the transaction was to Banksoh as an individual in January 2022 when he prepared and dated the unsigned certificate, so did Sharon.

Additionally,

Sharon's verified responses to the requests for admission contain an admission that she signed the certificate in January 2022, directly contradicting the "new" facts Defendants seek to allege. Defendants' assertion that he will seek to modify or withdraw the response is meaningless because they have not done so and cannot now do so because minimum notice on a motion to modify RFAs is more time than remains until trial. (See Code Civ. Proc. § 2033.300.)

Finally,

Defendants cannot use their trial preference as both a sword and a shield. At every juncture, Defendants have refused to continue trial to afford the parties more time to litigate the pleadings and complete discovery. Trial is currently set for September 28, 2026 – less than two weeks from this hearing on the motion for reconsideration. Defendants chose to move for trial preference before the pleadings were set. Defendants cannot now argue that the Court should provide the parties with multiple attempts to plead a viable cause of action while at the same time holding steadfast to their right to trial within seventy days.

Motion

to Bifurcate

Since the

Court denies Defendants' Motion for Reconsideration, Plaintiff's Motion to Bifurcate is unopposed. The Court agrees with Plaintiffs' analysis. The Motion to Bifurcate is GRANTED.

Conclusion

Defendants'

Motion for Reconsideration is DENIED.

Plaintiffs'

Motion to Bifurcate is GRANTED.